

- Is there a raider in the wings to help shareholders reap the benefits of the assets?

Here are some pointers from this section:

- Understand the nature of the companies you own and the specific reasons for holding the stock. ("It is really going up!" doesn't count.)
- By putting your stocks into categories you'll have a better idea of what to expect from them.
- Big companies have small moves, small companies have big moves.
- Consider the size of a company if you expect it to profit from a specific product.
- Look for small companies that are already profitable and have proven that their concept can be replicated.
- Be suspicious of companies with growth rates of 50 to 100 percent a year.
- Avoid hot stocks in hot industries.
- Distrust diversifications, which usually turn out to be diworseifications.
- Long shots almost never pay off.
- It's better to miss the first move in a stock and wait to see if a company's plans are working out.
- People get incredibly valuable fundamental information from their jobs that may not reach the professionals for months or even years.
- Separate all stock tips from the tipper, even if the tipper is very smart, very rich, and his or her last tip went up.
- Some stock tips, especially from an expert in the field, may turn out to be quite valuable. However, people in the paper industry normally give out tips on drug stocks, and people in the health care field never run out of tips on the coming takeovers in the paper industry.
- Invest in simple companies that appear dull, mundane, out of favor, and haven't caught the fancy of Wall Street.
- Moderately fast growers (20 to 25 percent) in nongrowth industries are ideal investments.
- Look for companies with niches.
- When purchasing depressed stocks in troubled companies, seek out the ones with the superior financial positions and avoid the ones with loads of bank debt.